

UNITED STATES COPYRIGHT OFFICE

**Section 1201 Study: Request
For Additional Comments**

Docket No. 2015-8

*
* **Additional Reply Comments of:**
* **Association of American Publishers,**
* **Entertainment Software Association,**
* **Motion Picture Association of America,**
* **Recording Industry Association of**
* **America**

I. Introduction

The Association of American Publishers (“AAP”), the Entertainment Software Association (“ESA”), the Motion Picture Association of America, Inc. (“MPAA”) and the Recording Industry Association of America, Inc. (“RIAA”) respectfully submit these reply comments in connection with the above referenced docket. As described in their prior comments submitted on March 3, 2016, April 1, 2016, and October 27, 2016, and during the public roundtables, the protections provided in Chapter 12 of Title 17 are extremely important to the motion picture, television, music, entertainment software, and publishing industries. These protections helped encourage early adoption of digital distribution methods and continue to enable the exciting new business models that AAP, ESA, MPAA and RIAA members are currently using to disseminate their creative works. *See* March 3, 2016 Initial Comments of AAP, MPAA, and RIAA at 4-9 (describing the numerous digital products currently being offered by motion picture distributors, record companies and publishers of literary works); March 3, 2016 Initial Comments of ESA at 2-6 (describing variety of offerings from video game publishers and distributors).

Nothing in the comments filed in this docket justifies amending Chapter 12. Its protections have played a large role in the development of the thriving digital marketplace for expressive works that Congress envisioned nearly two decades ago when it passed the DMCA. *See* S. Rep. No. 105-190, 105th Cong., 2d Sess., at 8 (May 11, 1998) (Section 1201 “creates the legal platform for launching the global digital online marketplace for copyrighted works. It will facilitate making available quickly and conveniently via the Internet the movies, music, software and literary works that are the fruit of American creative genius.”); *see also* May 19, 2016 Transcript at 14 (statement of Mr. Adler, AAP) (“The idea here was all about access. It is to facilitate consumer access to works online because that would be convenient, because it was viewed that that would cut expenses. It would cut against the difficulties people have in finding these works. ... So we think that the legal protections were a necessary part of the notion that copyright owners could use technological protection measures in order to make their works conveniently and ubiquitously available online and that’s been a wild success.”); *id.* at 18 (statement of Mr. Pierre-Louis, ESA) (“When [the DMCA] was passed in 1998, the thought was we want to expand consumer access to broadband and to new technologies. And one of the ways

we encourage that is by getting copyrighted content online and on other devices. And part of those twin goals involved 1201.”).

These protections are only growing in importance, as online dissemination of works becomes the primary business model for a broad range of products. Over the last several years, we have entered an “access economy” wherein consumers demand and prefer business models that provide on-demand access on a subscription or rental transaction basis rather than buying and owning copies of works. *See* Hayley Tsukayama, Wash. Post, *Mary Meeker Sees Web Trend Toward Consumer Access*, Dec. 4, 2012 (“CD wallets, bookshelves, DVD towers and even garages may be fading away as a new generation lets technology affect the way it thinks about ownership.”); *A Hard Sell: The Industries That Can’t Get Millennials Buying*, The Guardian, March 18, 2016 (“The sharing economy has taught us that just as you don’t need to own the DVD of the film you want to watch, you don’t need your own car to get around.”). In this *access* economy, technological measures that enforce the terms of *access*-based transactions are the tools by which copyright owners and their distributor licensees meet consumer expectations. These controls are not imposing unnecessary, restrictive limits on consumers. They are instead enabling consumers to pay less while getting more. *See* U.S. Dept. of Commerce Internet Policy Task Force, *White Paper on Remixes, First Sale, and Statutory Damages*, at 42-44, 56-68 (Jan. 2016) (“The Task Force is persuaded that an overly broad application of the first sale doctrine could also impede the continued development of the growing range of flexible new licensing models and variable pricing. Considerable evidence was presented that such models are becoming more and more prevalent and that they provide real value to consumers above and beyond traditional ownership models.”).

Accordingly, we call on the Copyright Office not to recommend legislative change, but instead to focus its efforts on refining the triennial rulemaking process, which, with a few relatively minor procedural adjustments, will continue to provide a flexible fail-safe mechanism to address any perceived problems associated with the prohibition against circumventing access-control technologies.

II. Response to Notice of Inquiry

Although the Copyright Office published a detailed and focused Request for Additional Comments regarding specific issues primarily related to access controls applied to software that enables machines and devices to function, rather than access controls applied to expressive works or software that renders expressive works for viewing or listening, a number of Section 1201’s critics responded with more demands for fundamental changes to the statute, such as inserting a requirement that violations of Section 1201 must be linked to acts of copyright infringement. *See, e.g.*, Additional Comments of Public Knowledge at 1; Additional Comments of Center for Democracy and Technology (“CDT”) at 4; Additional Comments of the Society of American Archivists at 2; Additional Comments of Owners Rights Initiative at 1.¹ Without reiterating all of the reasons why such fundamental changes to the statute would be misguided and harmful, AAP, ESA, MPAA and RIAA remain strongly opposed to any efforts to render Section 1201 superfluous, a mere duplication of the protections provided by Section 106. Many of today’s most successful, consumer-friendly business models involve selling *access* to works rather than *copies* of works. *See* May 25, 2016 Transcript at 15 (statement of Ms. Chertkof,

¹ All references to “Additional Comments” herein are to the comments submitted on October 27, 2016.

RIAA) (“It’s been well publicized in the music industry that the industry is shifting from an ownership model to an access model and that access is really kind of where all the growth is.”);² *id.* at 14 (statement of Mr. Sheffner, MPAA) (“And as we’ve actually seen the distribution models [in the motion picture industry] move from ownership [of] a physical item like Blu-Ray disc or a DVD towards access-based models, whether it’s subscription models like Netflix or Hulu or iTunes, et cetera, access is really what’s at issue here.”). Without the protections of Section 1201, such offerings could be subject to unrestrained hacking without legal recourse for copyright owners because merely viewing or listening to a work may not necessarily constitute copyright infringement, depending on the particular technology at issue. The Copyright Office was right to implicitly reject requests for fundamental changes to the statute in the Request for Additional Comments. AAP, ESA, MPAA, and RIAA strongly urge the Office to maintain its position on these issues and to clearly articulate in any published study the reasons why Section 1201 should *not* be fundamentally altered.

While Public Knowledge claims that advocates for preserving the protections provided to rights holders by Section 1201 “have not actually produced evidence supporting the causal link between” those protections and the widespread availability of new digital products and services, that is untrue. In every rulemaking proceeding, the Joint Creators and Copyright Owners submit extensive evidence regarding that link, including live testimony from business executives. *See, e.g.*, May 20, 2015 Transcript at 81 (statement of Mr. Swart, Twenty First Century Fox) (“[W]ith any distributor we work with, copy protection and encryption is critical.”); May 19, 2015 Transcript at 129-130 (statement of Mr. Voris, The Walt Disney Company) (“[P]roducts and services like Disney Movies Anywhere are making it easy for consumers to access their movies across formats and platforms and they represent the very type of innovative digital solutions the DMCA’s anti-circumvention protections were intended to encourage.”). Similar testimony was provided at the public roundtables during this proceeding. *See, e.g.*, May 19, 2016 Transcript at 22-23 (statement of Mr. Dow, The Walt Disney Company) (“Now, in the last 15 years that I’ve been involved in this from the business side, I’ve been at the intersection of the law and sort of the business considerations. And I can tell you that the availability of these legal tools has been directly relevant to the decisions to get into these markets, whether it was the development of AACS as a next-generation standard for the protection of high definition digital content, whether it’s the willingness to get into the market for 4K, whether it’s the willingness to get into the market for over-the-top television and authenticated television to allow people to do streaming, the DMCA has been a factor in the willingness to engage in all of those things.”); May 25, 2016 Transcript at 203-04 (statement of Mr. Reed, Fox Entertainment Group) (“I sort of wanted to ... come back to something that came up in one of the earlier panels this morning about the idea of whether it’s the law that is causing these business models to evolve in the way they have, or whether it’s the technology itself. It’s both, and it’s very -- the law is very much a major consideration here. Anti-trafficking is very much a major consideration. When we make decisions about what products to make available in the marketplace, either in the United States or in foreign countries, we’re looking at not only the technology that’s available to provide that content in a way that consumers want it in that market, but also the efficacy of the legal regime

² *See also* Neil Shah, Wall St. J., *The Summer that Streaming Took Over*, Aug. 25, 2016 (“The move by consumers away from owning music to renting it from services like Spotify and Apple Music has caught fire.”); Ann Steele, Wall St. J., *Warner Music Revenue Grows on Streaming: Streaming is Largest Source of Revenue in the Company’s Recorded Music Business*, May 6, 2016; Tim Ingham, Music Business Worldwide, *Streaming is Crushing Downloads at Sony Music, Claiming 42% of Revenues*, Nov. 1, 2016.

in that space as well.”). After almost two decades of the Copyright Office receiving such testimony, the fact that Section 1201 plays an important role in the business decisions underlying how the market has developed has been conclusively established.

With respect to other additional comments filed in response to the specific issues raised by the Request for Additional Comments, AAP, ESA, MPAA, and RIAA provide the following reply comments.

1. Proposals for New Permanent Exemptions

(a) *Assistive Technologies for Use by Persons Who Are Blind, Visually Impaired, or Print Disabled*

The Request for Additional Comments correctly stated that “[t]he written comments and roundtable discussions revealed widespread support for adoption of a permanent exemption to facilitate access to works in electronic formats by persons who are blind, visually impaired, or print disabled.” 81 Fed. Reg. 66,296, 66,296 (Sept. 27, 2016). However, while AAP, ESA, MPAA and RIAA support in principle that the marketplace must provide accessibility to copyrighted materials for the blind, visually impaired and print disabled, they do not support amending Section 1201 to add a permanent exemption. Rather, they have stated, and continue to believe, that temporary exemptions issued through the rulemaking process are preferable to statutory amendments. As was discussed at the public roundtables, the digital marketplace for literary works is going through changes that could result in an amelioration or disappearance of the concerns related to disabled read-aloud functionality. *See, e.g.*, May 20, 2016 Transcript at 144-45 (statement of Mr. Williams, MSK) (“[T]here are formats in development that are going to roll out that will make this problem much less significant if it doesn’t go away. There’s EPUB-3 and HTML-5 which I understand are going to help address these issues. And so, if that were the case and circumvention became unnecessary, then there wouldn’t be a need to have an exemption sitting in the statute when we could just renew it through the rulemaking process.”); *id.* at 154 (statement of Mr. Cazares, National Federation of the Blind) (“I agree in part with Mr. Williams. I think that the forthcoming of EPUB-3 and HTML-5 are going to kind of revolutionize the way accessibility is approached in the mainstream.”). Accordingly, addressing this issue on a triennial basis to account for such marketplace and technological realities is far preferable to “permanent” statutory change.³

This is especially true when considering the issue outside the narrow context of literary works. Although there is a substantial record regarding the accessibility issue in that context, there is very little in the records from prior rulemaking proceedings regarding other entertainment products.⁴ There is also very little regarding such products in this docket. By

³ Regardless whether in a regulatory or legislative context, the Copyright Office should not recommend that the current exemption requirements for remuneration to the copyright owner and compliance with the Chafee Amendment be deleted, as some commenters advocated. *See, e.g.*, Additional Comments of EFF at 3; Additional Comments of Authors Alliance at 3. It is only fair that right holders be paid for copies of commercially available works.

⁴ In 2012, the Librarian granted an exemption request addressing accessibility issues with respect to motion pictures and other audiovisual works. Final Rule, 71 Fed. Reg. 65,260, 65,270 (Oct. 26, 2012) (allowing circumvention “accomplished solely to access the playhead and/or related time code

failing to limit the Request for Additional Comments to focus on literary works, as opposed to a possible permanent exemption applicable to all “works in electronic formats,” the Copyright Office took a turn that is unsupported by any factual record.⁵ The Copyright Office simply has no current data sufficient to justify any conclusions regarding whether accessibility issues, caused by access controls, exist with respect to video games, motion pictures or recorded music. Thus, the Copyright Office should refrain from recommending “a permanent exemption to facilitate access to works in electronic formats by persons who are blind, visually impaired, or print disabled.” *See* Additional Comments of Copyright Alliance at 2 (“The legislative process should be driven by evidence, not speculation.”).⁶

(b) *Device Unlocking*

Although AAP, ESA, MPAA and RIAA have no objection in principle to the notion that consumers should be able to connect their devices to the mobile wireless network(s) of their choosing, they do not support a permanent statutory exemption for device “unlocking.” As referenced in the Request for Additional Comments (81 Fed. Reg. at 66,297), Congress recently considered this issue and instructed the Register and the Librarian to renew the regulatory exemption for unlocking rather than amending Section 1201. *See* Unlocking Consumer Choice and Wireless Competition Act, Pub. L. No. 113-144, §§ 2(c)(2), 2(d)(2), 128 Stat. 1751 (2014); *see also* 2015 Recommendation of the Register of Copyrights at 12 (“[T]he language of the Unlocking Act makes clear that the Register is to consider any future proposal for a cellphone unlocking exemption according to the usual triennial rulemaking process.”). Nothing in this docket indicates that any marketplace changes have occurred that would justify reopening that legislative issue at this time. The rulemaking remains the appropriate venue for presentations of issues on this topic.

(c) *Computer Programs*

AAP, ESA, MPAA, and RIAA are concerned that the Request for Additional Comments suggested that the Copyright Office would consider recommending that Congress create

information embedded in copies of such works and solely for the purpose of conducting research and development for the purpose of creating players capable of rendering visual representations of the audible portions of such works and/or audible representations or descriptions of the visual portions of such works to enable an individual who is blind, visually impaired, deaf, or hard of hearing, and who has lawfully obtained a copy of such a work, to perceive the work; provided however, that the resulting player does not require circumvention of technological measures to operate.”). However, no petition for renewal of the exemption was filed during the 2015 proceeding, indicating that the marketplace is addressing whatever concerns previously existed.

⁵ Library Copyright Alliance, in its Additional Comments (at page 3) also proposed expanding the exemption applicable to literary works to encompass musical works without submitting an explanation as to why or any evidence of any problems related to the enjoyment of musical works. The Office should reject this proposal.

⁶ Some commenters suggested that the Marrakesh Treaty provides justification for amending Section 1201. *See, e.g.*, Additional Comments of Authors Alliance at 2. Given there is no evidence that technological protection measures are preventing the visually impaired from accessing works other than literary works, the continued existence of the exemption for that class of works already satisfies the United States’ obligations under the Marrakesh Treaty.

statutory exemptions with broad language allowing for circumvention “for engaging in any lawful modification of a computer program” including “uses permitted under section 117(a) and/or the fair use doctrine.” This type of broad-brush approach was rejected by Congress when the DMCA was drafted because creating such vaguely-defined exemptions without specific instructions regarding precisely what types of conduct are allowed by them is a recipe for misuse and confusion. The rulemaking process is preferable to legislation because (among other reasons) the Copyright Office can craft those specific instructions to address specific, demonstrated circumstances.

As the Copyright Office is well aware, one person’s notion of fair use is another person’s infringement. Prior rulemaking proceedings are replete with examples of exemption proponents maintaining that conduct considered blatantly infringing by copyright owners is unquestionably fair use. *See, e.g.*, 2015 Recommendation of the Register of Copyrights at 119-23 (Register’s rejection of Public Knowledge’s position that space-shifting movies is a fair use). Similarly, exemption proponents have often advocated for an expansive interpretation of Section 117 that is unsupported by the majority of the case law. A statutory provision that authorized circumvention to access and modify computer programs for all lawful purposes would generate widespread mistakes regarding when circumvention is permissible.⁷ Indeed, while “maintenance and repair” can be tied to Section 117 activity, going beyond that to cover all “modifications” or “customizations” or efforts to “improve the functionality” of computer programs would invite the creation of infringing derivative works.

The harmful impact of those mistakes (and of outright abuses of any newly created statutory exemption) would not be adequately “mitigated by conditioning the exemption on the circumventing party not engaging in any unauthorized use of a copyrighted work other than the accessed computer program, or by limiting the exemption to computer programs that are ‘not a conduit to protectable expression’ – *i.e.*, those that do ‘not in turn create any protected expression’ when executed.” 81 Fed. Reg. at 66,297 (citing *Lexmark Int’l, Inc. v. Static Control Components, Inc.*, 387 F.3d 522, 548 (6th Cir. 2004)). Although exemptions containing such limiting criteria are preferable to unbounded exemptions that do not prohibit unauthorized use of expressive works and that permit unauthorized access to expressive works, these limitations would not sufficiently confine the contemplated exemption to circumstances where circumvention presents no threat to legitimate copyright interests. For example, manufacturers of video game consoles use access controls to prevent piracy not only by restricting access to computer programs that render video games perceptible, but also by restricting access to the software that operates the consoles and authenticates games. Circumvention of such access

⁷ For this reason, the Copyright Office should decline to follow the advice of commenters who expressed support for “an exemption to explicitly permit circumvention undertaken to make non-infringing adaptations,” or similar language. *See* Additional Comments of EFF at 4; *see also* Additional Comments of Public Knowledge at 3, Additional Comments of CDT at 3. EFF has it exactly backwards when it states that “[t]he benefit with that statutory language is that it links the application of Section 1201 directly to the well-developed limitations and defenses to copyright infringement, including fair use, without attempting to recapitulate or paraphrase those limitations within Section 1201, which would raise the possibility of inconsistent application.” Additional Comments of EFF at 4. Exemptions that do not set forth the precise factual circumstances within which they apply create a much higher risk of inconsistent application than exemptions that include detailed criteria for judges to apply.

controls leads to play of pirated games.⁸ Moreover, the *Nintendo Co. Ltd. v. Playables Ltd.*, case from the United Kingdom, which the Copyright Office cited in the Request for Additional Comments (*id.*), exemplifies how plaintiffs operating in a legal system that does not uniformly prohibit circumvention of access controls applicable to computer programs face additional, unnecessary hurdles in litigation against pirate enterprises.

AAP, ESA, MPAA, and RIAA also are skeptical that limiting a statutory exemption “to computer programs in particular categories of devices” would mitigate “concerns over enabling unauthorized uses.” *Id.* That said, of course an exemption that excluded from its scope computer programs resident on all devices used to view or listen to sound recordings, movies, television shows, literary works and video games would be preferable to one that does not contain such exclusions. Nevertheless, any such exemption should be considered in the context of the rulemaking, not recommended as a legislative amendment.

(d) *Obsolete Technologies*

While it is true, as the Request for Additional Comments states, that “[i]n prior rulemakings, the Copyright Office and the Librarian of Congress have considered multiple petitions to permit circumvention of an access control mechanism protecting against a given class of works that fails to permit access because of malfunction, damage, or obsolescence,”⁸¹ Fed. Reg. at 66,297, there has been no consistency with respect to the petitions submitted, the exemptions granted, or the perceived problems articulated by proponents that would be comparable to other issues, like access to e-books by the visually impaired or device unlocking. In fact, at the conclusion of the last two proceedings, no exemption specifically referencing malfunction, damage or obsolescence was adopted. Although an exemption was granted in 2015, for the first time, for accessing video games where authentication servers were no longer supported – an exemption which the Joint Creators and Copyright Owners opposed⁹ and continue to oppose – that exemption addressed a specific market sector and includes several limitations on its exercise.¹⁰ Given that the issues that have been raised during some cycles related to obsolete access controls have varied, and that no petitions have been filed on this topic during other cycles, it is more appropriate for the Copyright Office to continue to review issues as they arise in the course of the triennial proceedings rather than recommending legislation.

⁸ For this reason, the Owners Rights Initiative is incorrect (Additional Comments at 2) when it argues that “circumvention of access controls on programs embedded in hardware are far removed from the protection of creative expression that Section 1201 was intended to address.”

⁹ In the 2015 cycle, ESA, MPAA, and RIAA comprised the Joint Creators and Copyright Owners.

¹⁰ Library Copyright Alliance, in its Additional Comments, (at page 3) asserted that this exemption has “caused copyright owners no harm,” despite the fact that it only recently went into effect and there has been insufficient time for evidence of harm to be collected. There is a risk of harm posed by the existence of the exemption, as the Joint Creators and Copyright Owners explained during the rulemaking proceeding. Nor should the Copyright Office recommend an exemption that would allow for circumvention for the purpose of creating or operating “emulators,” (Additional Comments of Software Preservation Network at 2) which are often used to set up unauthorized gaming platforms used to engage in unlawful uses of games.

Certainly, nothing submitted in this docket would justify recommendation of a broad exemption applicable to all malfunctioning, damaged or obsolete access controls.¹¹

(e) *International Considerations*

While there are trade and treaty obligations that could come into play if the Copyright Office decides to recommend any of the legislative changes it discussed in the Request for Additional Comment, the focus at this point should not be on whether any of the proposals would violate existing agreements. Rather, in considering whether proposals are sound as a policy matter, the Copyright Office should focus on the fact that these obligations reflect a broad international consensus about the importance of effective protection of intellectual property to our economy (as well as to the economies of our trading partners), which includes effective measures against circumvention of technological protection measures and trafficking in circumvention devices. Thus, U.S. trade obligations are governed by the trade negotiating objectives established by Congress, which reflect U.S. economic, social and cultural interests.¹² In short, our trade “obligations” are not imposed on the U.S. by other parties, but are a mutual acknowledgement of a set of international norms and baseline protections for creativity and innovation that reflect a standard of protection similar to that found in United States law.¹³

A departure from these, whether at the international level or domestically, would undermine U.S. interests, and depart from the common views of policymakers around the globe about how to expand commercial opportunities for creators and innovators. Now that we have reached a consensus with many of our trading partners regarding these international norms and baseline protections, it would be counterproductive to reverse course and seek to weaken protections for access controls and copy controls. The adoption of very similar approaches around the world to protecting technological measures demonstrates that the approach taken by the United States is robust enough to stand the test of time.

Although several proponents of legislative amendments appear eager to push the United States into reopening negotiations regarding trade agreements (*see, e.g.*, Additional Comments of the Library Copyright Alliance at 3; Additional Comments of Owners Rights Initiative at 3), there is no justification for doing so. The triennial rulemaking proceeding is already specifically permitted by our treaties and trade agreements and is more than sufficient for addressing any perceived problems with the prohibition on circumvention of access controls.

¹¹ There is also insufficient evidence in the docket to support the broader permanent exemption requested by the Society of American Archivists, (at page 3 of their Additional Comments) which would cover “original works of authorship fixed in a digital medium of expression that are currently in the collection of a library or archives of the type described by clause (2) of subsection (a) of 17 USC § 108 when circumvention is accomplished for the sole purpose of managing, maintaining and preserving its collection pursuant to 17 USC § 107 and 108.” This proposal for what amounts to an expansive exemption for “all fair uses by libraries and archives” would be prone to misinterpretation and confusion, especially considering ongoing litigation surrounding what types of copying by libraries qualify as fair use. *See, e.g., Cambridge University Press v. Patton*, 769 F.3d 1232 (11th Cir. 2014) (now on appeal again after remand and decision).

¹² *See* Bipartisan Congressional Trade Priorities and Accountability Act of 2015, section 102(b)(5), 19 U.S.C. § 4201(b)(5) (2015).

¹³ *See id.* at 19 U.S.C. § 4201(b)(5)(A)(i)(II).

2. Proposed Amendments to Existing Permanent Exemptions

The DMCA – including the provisions codified in 17 U.S.C. Sections 1201 and 512 – embodies a compromise negotiated at length among all stakeholders, including creators and copyright owners, Internet service and website providers, consumer electronics companies, libraries, and organizations representing the interests of consumers. This compromise included securing adequate prohibitions against undermining the integrity of technological protection measures and incentives for service provider cooperation in dealing with the proliferation of infringing material online in exchange for limitations on liability for service providers and the creation of a regulatory process by which consumers, libraries and others could propose new, temporary exemptions to the anti-circumvention prohibitions. As changes to existing statutory provisions are considered, we urge the Register – and Congress – to be mindful of this bigger picture when considering how any changes to portions of Section 1201 would affect the delicate balance that the DMCA represents. With respect to the permanent exemptions included in Section 1201 in particular, these exemptions reflect the outcome of careful, complex, and consensus-oriented negotiations among affected parties. Given the significance and technical nature of the issues raised, and the potential impact of changes on the affected industry sectors, modifications to these statutory exemptions, if any, should reflect a similar consensus.

(a) *Adoption of Regulatory Security Research Exemption*

At the conclusion of the 2015 rulemaking proceeding, AAP, ESA, MPAA and RIAA were surprised and disappointed to see that the exemption granted for security research was drafted to apply to “a device or machine primarily designed for use by individual consumers.” As noted in the Additional Comments of DVD CCA and AACSLA, at 4-5, the record before the Copyright Office at that time had focused on cars, medical devices, and voting machines, not on devices used by consumers to view and listen to expressive works. Thus, the exemption should have been tailored accordingly. The fact that it was not renders it a poor candidate for recommendation as a permanent legislative amendment to the statute.

Moreover, prior exemptions granted by the Librarian related to security research targeted specific types of works after actual marketplace occurrences indicated that access controls protecting such works might themselves be creating security vulnerabilities. *See, e.g.*, Final Rule, 71 Fed. Reg. 68,472 (Nov. 27, 2006) (announcing exemption related to sound recordings and access controls causing security vulnerabilities). Once those circumstances changed, these exemptions were not renewed. That is exactly how the rulemaking process is supposed to work and why it is superior to legislation.

Another reason that continuing to consider these issues in the context of the rulemaking is preferable is that the additional comments filed in this docket indicate that the proponents of a new security research exemption do not consider the exemption granted in 2015 to be sufficient. *See, e.g.*, Additional Comments of Electronic Frontier Foundation (“EFF”) at 6; Additional Comments of CDT at 4; Additional Comments of Rapid7, Bugcrowd, HackerOne, and Luta Security at 5. Indeed, one of them is suing the Librarian and the Copyright Office alleging just that. *See Green v. U.S. Dept. of Justice, et al.*, Case No. 16-civ-01492 (D.D.C. filed July 21,

2016).¹⁴ Despite the fact that the Copyright Office carefully considered the issues and granted a (rather broad) exemption that is limited in commonsense ways to prevent abuse, these proponents would no doubt return in the next triennial proceeding to request broader exemptions – even if the language recently adopted by the Copyright Office were codified by statute. Thus the time and effort involved in pursuing legislation in this area would be wasted. *Cf.* Additional Comments of Public Knowledge at 2 (insisting on an exemption permitting all circumvention unless committed with intent to infringe: “A too narrow exemption would result in the intended beneficiaries having to avail themselves of the triennial exemption process anyway, rendering pointless the entire exercise of implementing new permanent exemptions.”).

(b) *Revisions to 1201(j)(1)*

AAP, ESA, MPAA, and RIAA oppose eliminating the statutory requirement that security testing be undertaken “with the authorization of the owner or operator of [the] computer, computer system, or computer network.” 17 U.S.C. § 1201(j)(1). Doing so would appear to authorize surreptitious invasions into the computers and networks of consumers, businesses and other organizations for the purported purpose of protecting them from security vulnerabilities. As the Conference Report on the DMCA noted, no one has the right to inspect the security of the locks on someone else’s house. *See* H.R. Rep. No. 105-796, 105th Cong. 2d Sess., at 67 (Oct. 8, 1998). At a time where harmful data breaches and attacks on internet infrastructure occur daily, hackers should not be given an additional broad defense to invoke when their invasive conduct is identified. *See* Additional Comments of BSA – The Software Alliance at 3; Additional Comments of SIIA at 3; *see also Major Cyber Attack Disrupts Internet Service Across Europe and US*, The Guardian, Oct. 21, 2016. Although core copyright concerns are at the heart of Section 1201, the statute should not ignore the very real threats posed by malicious hacking. Moreover, while good faith, responsible security research, conducted by trained and careful researchers, should be encouraged, the Copyright Office and Congress should not assume that every person who fancies him or herself a “security researcher” will be able to avoid creating more vulnerabilities than they discover.

(c) *Revisions to 1201(j)(3)*

17 U.S.C. § 1201(j)(3) merely provides non-exhaustive factors for courts to consider when presented with a security testing defense to a Section 1201 claim. There is no reason to delete these commonsense factors.¹⁵

¹⁴ Professor Matthew Green, the chief proponent of a security testing exemption in the 2015 rulemaking proceeding, is the named Plaintiff in the suit, which is part of a wide-ranging effort by his attorneys at the Electronic Frontier Foundation aimed at rendering *all* digital rights management technologies impotent. *See* Cory Doctorow, *EFF is Suing the US Government to Invalidate the DMCA’s DRM Provisions*, Boing Boing, July 21, 2016 (“With this lawsuit, the EFF has fired a starter pistol in the race to repeal section 1201 of the DMCA and its cousins all over the world.”).

¹⁵ If the Copyright Office is concerned that good-faith research is being chilled by the existence of these factors, perhaps “the Office could pursue administrative clarification by issuing guidance as to the Office’s interpretation of the meaning and appropriate application of those factors.” Additional Comments of CDT at 6. As CDT stated, such guidance is preferable to legislation that, in CDT’s view, “would not fully address 1201(j)’s uncertainties.” *Id.*

The first factor states that courts should consider whether “the information derived from the security testing was used solely to promote the security of the owner or operator of [a] computer, computer system or computer network...” This language appropriately cautions courts that defendants should not be allowed to prevail on a security testing defense when they engage in such testing while simultaneously engaging in some other nefarious or unrelated activity. *See, e.g., Universal City Studios, Inc. v. Reimerdes*, 111 F. Supp. 2d 294, 319-322 (S.D.N.Y. 2000).

The second factor is even more benign. It simply instructs courts to consider “whether the information derived from the security testing was used or maintained in a manner that does not facilitate copyright infringement under this title or a violation of applicable law other than this section, including a violation of privacy or breach of security.” AAP, ESA, MPAA, and RIAA cannot discern any reason to consider deletion of this language, which is obviously intended to prevent bad actors from enabling infringement or obtaining unauthorized access to computers and systems belonging to others under the guise of security testing.

(d) *Revisions to 1201(g)*

Like Section 1201(j), 1201(g) includes commonsense limitations on persons planning to engage in encryption research, to minimize potential abuse of the exemption. None of these limitations should be deleted.

First, the statute requires that “the person lawfully obtained the encrypted copy, phonorecord, performance, or display of the published work.” Under no circumstances should people be allowed to obtain copies of works **unlawfully** in order to engage in encryption research.

Second, the statute requires that the “act [of circumvention] is necessary to conduct such encryption research.” Given that the point of the defense created by 1201(g) is to enable encryption research, there is no reason to allow encryption researchers to engage in circumvention where it is unnecessary for them to do so to conduct their research.

Third, the statute requires that “the person made a good faith effort to obtain authorization before the circumvention.” It is important to note that this provision does not state that where such permission is not obtained the researcher must cease and desist her research. All that is required is a good faith effort to obtain permission. Given that organizations such as a DVD CCA and AACS LA have stated in this docket that they stand ready and willing to consider requests from researchers for licenses to engage in circumvention to conduct encryption research (Additional Comments at 6), it is difficult to understand why researchers should not at least attempt to collaborate with such groups before moving ahead with research.

Fourth, the statute requires that “such act does not constitute infringement under this title or a violation of applicable law other than this section, including section 1030 of title 18 ...” Again, the legitimacy of this provision should be self-evident. If a researcher is going to commit infringement or otherwise violate the law, such as by gaining unauthorized access to someone else’s computer, the law must not countenance that conduct.

(e) *Revisions to 1201(f)*

The statutory exemption related to reverse engineering requires that circumvention be undertaken “for the sole purpose of identifying and analyzing those elements of the program that are necessary to achieve interoperability of an independently created computer program with other programs, and that have not previously been readily available to the person engaging in the circumvention, to the extent such acts of identification and analysis do not constitute infringement under this title.” Congress included this language because the purpose of Section 1201(f) was to acknowledge the Ninth Circuit’s decisions in this area without expanding the scope of fair use. *See* Staff of House Comm. On the Judiciary, 105th Cong., Section-by-Section Analysis of H.R. 2281 as passed by the United States House of Representatives on August 4, 1998, at 14 (Comm. Print 1998) (“Manager’s Report”) (“The objective is to ensure that the effect of current case law interpreting the Copyright Act is not changed by enactment of this legislation for certain acts of identification and analysis done in respect of computer programs. *See Sega Enterprises Ltd. v. Accolade, Inc.*, 977 F.2d 1510, 24 U.S.P.Q.2d 1561 (9th Cir. 1992). ... [T]he goal of this section is to ensure that current law is not changed, and not to encourage or permit infringement. Thus, each of the acts undertaken must fall within the scope of fair use...”). The case law requires that intermediate copying involved in reverse engineering result in the creation of a new product that does not copy from the reverse engineered product. *See Sony Computer Entm’t, Inc. v. Connectix Corp.*, 203 F.3d 596, 606 (9th Cir. 2002). By limiting the scope of the exemption to identification and analysis, Congress conveyed that circumvention to gain access to software for the purpose of copying and adapting it and including it in a new product, or merely for the purpose of obtaining access to a work beyond that which has been purchased or licensed, is not necessarily fair use. The exemption should not imply otherwise and thus should not be altered. Exemption proponents who want to circumvent for a purpose other than identification and analysis should make specific proposals in the context of the rulemaking.

EFF asserts that “the flaws” with the existing reverse engineering exemption “are so serious that EFF is not aware of any case in which a permanent statutory exemption was held to protect an act of circumvention or trafficking.” Additional Comments of EFF at 6. But that is not evidence that the statute is failing. Instead, it is evidence that EFF’s claims regarding the number of threats researchers face are overstated. Good-faith researchers simply are not being sued under Section 1201 for reverse engineering. That is why there are no reported cases of Section 1201(f) being successfully asserted. Comments such as those submitted by Mozilla, which asserts without citation that we live “in a climate of high-volume litigation by copyright maximalists” (Additional Comments at 4) are simply not reflective of reality.

3. Anti-Trafficking Provisions

Several commenters urged the Copyright Office to embrace interpretations of the DMCA’s anti-trafficking provisions that are inconsistent with the language of the statute and its legislative history. For example, The Motor & Equipment Manufacturers Association (“MEMA”) argued that “whether TPMs may be lawfully circumvented depends on whether circumvention is done at the direction of a lawful possessor of the work. If the work is possessed lawfully, then fair use permits that user or his or her agent to circumvent the TPM.” Additional Comments of MEMA at 7. But, without exception, that reading of the statute has been expressly rejected by the courts, which have held that there is no fair use defense to a violation of Section

1201. *See, e.g., Universal City Studios, Inc. v. Corley*, 273 F.3d 429, 444 (2d Cir. 2001); *321 Studios v. Metro Goldwyn Mayer Studios Inc.*, 307 F. Supp. 2d 1085, 1097-98 (N.D. Cal. 2004).

Similarly, Consumer Technology Association (“CTA”) argued that “[t]he drafters of the DMCA did not consider it to be trafficking for a retailer to provide specific, expert assistance or necessary materials to a consumer, where the consumer’s right to engage in lawful activity has been specifically confirmed by the Librarian.” Additional Comments of CTA at 2; *see also* Additional Comments of Institute for Scarp Recycling at 3 (“[Section 1201] should be read as containing an implied right ... for third parties to assist [exemption] beneficiaries in unlocking devices or to unlock devices for them, as well as for third parties to make and offer tools for beneficiaries to use in engaging in permitted circumvention.”). This position is contradicted by the plain language of 17 U.S.C. § 1201(a)(1)(E), which states that no “determination made in a rulemaking conducted under subparagraph (C), may be used as a defense in any action to enforce any provision of this title other than this paragraph.” *See also* Manager’s Report at 8 (“[I]t would not provide a defense to a claim based on the manufacture or sale of devices under paragraph (2) or section (b)(1), or to a copyright infringement claim.”). The Copyright Office has reached this conclusion numerous times in the past. *See, e.g.,* Notice of Inquiry, 79 Fed. Reg. 55,687, 55,688 n.2 (Sept. 17, 2014).

Nothing in CTA’s Additional Comments or anywhere else in the record justifies changing the Copyright Office’s position or recommending any revision to Section 1201 that would undermine the anti-trafficking prohibitions.¹⁶ As multiple witnesses explained at the public roundtables, it is imperative that the rulemaking proceedings not result in circumvention devices or software being easily accessible in legitimate retail stores like Wal-Mart, Best Buy, or Amazon.com. *See, e.g.,* May 19, 2016 Transcript at 16 (statement of Mr. Zuck, The App Association) (“There’s still going to be people that gain access to technology. But the widespread acceptability of that knowledge, that I just walk into a Best Buy, for example, and buy software to break encryption is I think what really has changed by the legal provisions that have been put in place.”); *id.* at 22 (statement of Mr. Dow, The Walt Disney Company) (“[W]hen we were in litigation with 321 Studios over CSS hacking technology, that was exactly the issue, that you could walk into Fry’s and Best Buy and buy consumer-friendly hacking technology to rip DVDs. And the litigation that was involved there didn’t remove the ability to hack DVDs. But it did take that activity and put it on the fringe while leaving a channel in the mainstream that helped promote the availability of new business models.”); May 25, 2016 Transcript at 166-67 (statement of Mr. Reed, Fox Entertainment Group) (“So you can’t buy these

¹⁶ CTA relies on the Unlocking Consumer Choice and Wireless Competition Act, which is inapposite. Although there Congress instructed the Librarian to expand exemptions related to mobile phone unlocking to cover circumvention by certain persons at the direction of device owners, that law (i) was strictly limited by Congress to apply to this narrow category of circumvention (which is unrelated to accessing expressive works) and (ii) does not alter the anti-trafficking provisions of 17 U.S.C. § 1201(a)(2) or (b). S. Rep. No. 113-212, 113th Cong., 2d Sess., at 6 (July 17, 2014) (“Unlocking a cell phone or other wireless device enables the device owner to connect his or her device to a wireless telephone network of his or her choice, and does not enable the device owner, or a third party on an owner’s behalf, to engage in other activities that infringe copyrighted works.”); H.R. Rep. No. 113-356, 113th Cong., 2d Sess., at 9 (Feb. 25, 2014) (“Nothing in this Act is intended to serve as a limitation on section 1201(a)(2) or section 1201(b), which remain critical to the effectiveness of Chapter 12 of Title 17 and are in no way altered or modified by the provisions of this legislation.”).

tools as a general matter at a place like Best Buy, and so consumers think twice when they engage in that sort of conduct that those tools enable. And that's exactly, I think, the world that Congress envisioned when it passed the anti-trafficking provisions in the DMCA.”). That undesirable scenario is exactly what would result from adopting CTA's position.¹⁷

Although it is true that Sections 1201(a)(2) and 1201(b) require a plaintiff to prove that a device or service “is primarily designed or produced” for the purpose of circumvention, “has only limited commercially significant purpose or use” other than circumvention, or “is marketed” for use in circumvention, the “substantial non-infringing use” test used by courts in contributory infringement cases is not a defense to a Section 1201 claim. EFF's assertions (Additional Comments at 8) to the contrary are incorrect. *See* Manager's Report at 9 (“The *Sony* test of ‘capab[ility] of substantial non-infringing uses,’ while still operative in cases claiming contributory infringement of copyright, is not part of this legislation, however.”). Moreover, EFF's suggestion that the test should be whether achieving circumvention is why “[c]ustomers are attracted to a service,” would inevitably lead to infringement of, or unauthorized access to, works protected by technological protection measures, and should therefore be rejected. As stated in the Additional Comments of AAP, ESA, MPAA and RIAA, very few people engage in circumvention for its own sake. If a customer is attracted to a service not because she is interested in circumvention, but because she wants to create copies of Blu-ray Discs or play pirated copies of video games on a console, that service is of course prohibited by Section 1201 (as it should be).¹⁸

While AAP, ESA, MPAA, and RIAA acknowledge that circumvention in the context of automobile repair or other forms of repair might present a unique and distinguishable set of circumstances, nothing in the record of this docket supports concluding that there is a need to amend the statutory provisions of Sections 1201(a)(2) or 1201(b) to permit additional forms of “third-party assistance.” These anti-trafficking provisions are crucial to the successes the music,

¹⁷ CTA claims its position is supported by a floor statement made by Congressman Bliley: “Given our keen interest in the development of new products, in particular digital television monitors, the Committee is particularly concerned that the introduction of [technological] measures not frustrate consumer expectations and that this legislation not be interpreted to in any way limit the authority of manufacturers and retailers to address the legitimate concerns of their consumers.” Additional Comments of CTA at 3 (citing 144 Cong. Rec. H7094 (Aug. 4, 1998)). This statement had nothing to do with whether creating exemptions in the rulemaking results in limitations on the applicability of the anti-trafficking provisions. It instead related to Mr. Bliley's concern that the bill should not “make it illegal for a manufacturer of a product or device (to which section 1201 would otherwise apply) to design or modify the product or device to the extent necessary to mitigate a frequently occurring and noticeable adverse effect on the authorized performance or display of a work that is caused in the ordinary course of its design and operation.” 144 Cong. Rec. at H7095. *See also* 17 U.S.C. § 1201(k) (Certain Analog Devices and Certain Technological Measures).

¹⁸ The danger of EFF's approach is also present in the approach proffered by iFixit. They suggested that “most repair services” do not violate the anti-trafficking provisions because their primary purpose is to “improve the functionality of products that include software; circumvention is merely a mechanism by which this broader purpose must sometimes be achieved.” Additional Comments of The Repair Association and iFixit at 17. Undoubtedly, a person who wants to play pirated copies of video games on his console or play pirated copies of movies on his Blu-ray Disc player would consider hacks that enabled him to do so to “improve the functionality” of those devices.

publishing, entertainment software, movie and television industries have had in the digital market.

III. Conclusion

Nothing submitted in four rounds of comments in this docket and during multiple days of public roundtables establishes a need to recommend legislative changes to Section 1201. AAP, ESA, MPAA, and RIAA oppose any such changes.

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